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Introduction

Argentina's economy collapsed in December 2001. It had been in a major slump since the Asian financial crisis of 1998, largely because its currency regime—which pegged the peso to the US dollar—had crippled Argentine exporters against their foreign competitors. From mid-2001, (US)$20 billion was moved out of Argentina in speculation of a devaluation of the peso and, in late November, the country's central bank reserves fell by $2 billion in a single day amidst massive capital flight. In response, the government froze bank accounts and imposed wage and capital controls. In turn, on 7 December, the International Monetary Fund blocked the release of $2 billion to Argentina, blaming the government's failure to impose austerity measures and other reforms. This sent the economy into free-fall. Jobs disappeared en masse as hundreds of businesses went bankrupt. Wages of government workers were cut by 40 per cent and $3 billion in private pensions was redirected by the government to service the national debt. Argentinians blockaded streets and beat at the doors of the banks in desperation. Popular insurrection was espoused at 'neighbourhood assemblies' where anger was directed at the 'tens of billions taken away by the power suppliers [and] the profits that the telephone companies gained every year'. In just two weeks at the end of December five presidents were forced from office. That month, 30 people died in street protests and looting, and by January the government was distributing emergency food aid.[1]

In the face of financial catastrophe, the newly appointed government of President Duhalde announced on 6 January 2002 that it would allow the peso to decline in value against the dollar, thus cutting national savings by 70 per cent overnight, and attempt to renegotiate the country's debt 'in order to guarantee the operation of the National State in accordance with available resources'.[2] For many

[1] M Barrow, 'Argentina puts bankers to the test' *The Times* (7 August 2001) 21; P Wheatcroft, 'Argentina loan' *The Times* (23 August 2001) 23; G Gamini, 'Argentina faces debt default as IMF stops loan' *The Times* (7 December 2001) 21; L Paterson, 'Argentina holds make-or-break talks with IMF' *The Times* (8 December 2001) 56; G Gamini, 'Rioters killed as Argentina slides into chaos' *The Times* (20 December 2001) 17; S Calloni, 'Frágil, el equilibrio politico, económico y social en Argentina' *La Jornada* [Mexico] (21 January 2002). See also JF Hornbeck, 'The Argentine Financial Crisis: A Chronology of Events' (US Congressional Research Service Report No RS21130, 31 January 2002).

[2] Emergency Law No 25.561 (6 January 2002) (Argentina); National Decree No 256/2002 (9 February 2002) (Argentina).

months afterwards, Argentina was mired in severe crisis, described by the *Economist* as 'a decline without parallel' and 'an economic collapse to match the Great Depression of the 1930s'.[3] By November 2002 more than half the population was living in poverty. However, by 2004 the value of the peso stabilized and the economy began to recover. And, early in 2005, the government reached an agreement with bondholders to restructure over $100 billion in debt, paying about 34 cents on the dollar.[4] The reforms of early 2002 thus proved successful in at least averting a total collapse and allowing the country to emerge, in the words of the government, 'with its republican form of government intact'.[5]

Yet an important chapter in this story is still unfolding. Since 2001 foreign investors in Argentina—such as Enron and Azurix of the United States; Vivendi and Suez of France; Siemens of Germany; Gas Natural of Spain; and National Grid of the United Kingdom—have brought dozens of legal claims against the country under an obscure system of international arbitration, established by an array of investment treaties concluded in the 1990s between Argentina and the major capital-exporting states of Western Europe and North America. By 2006 more than 30 claims were pending against Argentina for an estimated $17 billion in claimed compensation, amounting to nearly the entire annual budget of the national government.[6] Many of the firms had purchased assets in the utilities sectors—water, gas, electricity—in the heydey of the privatizations of the early 1990s, when President Carlos Menem and his finance minister, Domingo Cavallo, carried out a shock programme of liberalization, deregulation, and sale of state assets. At the time, the privatization contracts signed by many foreign investors stipulated that utility rates would be denominated in dollar-pegged pesos and that they would rise or fall alongside the US producer price index. Ten years later, at the nadir of the economic crisis, the government ordered utility rates to be translated into devalued pesos and then frozen so that wage earners and businesses could afford basic services. This left the finances of many investors in tatters.

[3] 'A decline without parallel-Argentina's collapse' *The Economist* (2 March 2002); 'Liberty's great advance' *The Economist* (28 June 2003).

[4] U Goni, 'Debt-ridden middle classes ready to desert Argentina' *The Sunday Times* (6 January 2002) 24; T Walker, 'Argentina panics as banks close' *The Sunday Times* (21 April 2002) 25; G Gamini, 'Argentina slides deeper into mire of debt' *The Times* (15 November 2002) 22; T Hennigan, 'Argentina defaults on $2.9 billion debt' *The Times* (10 September 2003) 13; A Thomson, 'Argentina revels in power of peso' *The Financial Times* (30 June 2005) 43.

[5] *CMS Gas Transmission Company v Argentine Republic* (Application for Annulment) (8 September 2005), ICSID Case No ARB/01/8, para 23, online: ITA.

[6] LE Peterson, 'Argentine bondholders girding for multi-billion dollar investment treaty claim' *Investment Law and Policy News Bulletin* (10 June 2005); V Lowe, 'Some Comments on Procedural Weaknesses in International Law' (2004) 98 Am Soc'ty Int'l L Proc 37, 39. One group of foreign bondholders announced that it would bring a claim on behalf of its members for an estimated $25 billion, although the claim apparently never materialized: A Thomson, 'Argentine creditors toughen stance' *The Financial Times* (17 February 2005) 39; OC Pell, White & Case LLP, 'Recent Argentine Legislation and Argentine Bondholders' (Memorandum to the Global Committee of Argentine Bondholders, 15 February 2005).

The question underlying these claims by foreign firms is in a sense very straightforward: who should bear the cost of losses suffered by investors during the crisis and subsequent reforms? Did the Argentine government act rashly or unfairly burden foreign companies in its 'pesofication' of the monetary system? Or were the companies foolish to purchase the assets and assume debt in foreign currency on the risk that an economic collapse might provoke emergency restructuring by the state? An initial answer was provided in May 2005 by the investment treaty tribunal in *CMS v Argentina*, when three arbitrators ordered Argentina to pay $133 million to CMS Energy, a US-based investor in the gas sector.[7] The arbitrators concluded among other things that, regardless of whether the government acted in good faith in adopting policies that harmed CMS Energy's business, Argentina bore an 'objective' responsibility under international law to ensure a stable and predictable business environment for foreign investors, even in the midst of financial meltdown.[8] Further, the arbitrators decided that the investor's right to compensation was not extinguished or moderated by circumstances of public emergency.[9]

In contrasting these controversial findings of the *CMS v Argentina* tribunal against the tumultuous social and economic breakdown in Argentina, my aim is not to argue that the award was incorrect in law and imprudent in policy (although in my view it probably was), but rather to show that private arbitrators have a new-found power to review and discipline states, and to convey an impression of how this power interacts with the lives of ordinary people and the way they are governed. It is true that the raft of claims against Argentina was an exceptionally dramatic episode in the recent expansion of investment treaty arbitration[10] but it remains indicative of a much wider phenomenon.

The system of investment treaty arbitration

Little more than a decade ago, investment treaty arbitration was virtually unknown beyond the circles of those who were involved, one way or another, in the negotiation of investment treaties. The system entered the public mindset in the mid-1990s after several claims were brought by investors under Chapter 11 of the North American Free Trade Agreement (NAFTA) and, eventually, under numerous bilateral investment treaties. Since then, the system has expanded rapidly. In the last ten years investors have launched more than 150 claims under investment treaties, mainly against developing and former communist countries,

[7] *CMS Gas Transmission Company v Argentine Republic* (Merits) (12 May 2005), 44 ILM 1205, 17(5) World Trade and Arb Mat 63 [cited as *CMS v Argentina*], para 53–6.

[8] *CMS v Argentina* (n 7 above) para 274–84.

[9] *CMS v Argentina* (n 7 above) para 387–92.

[10] The term 'investment treaty arbitration' (or 'investor–state arbitration') refers to compulsory arbitration, pursuant to an investment treaty, between a state and an investor at the option of the latter. The term also distinguishes 'treaty' arbitration from the contract- or legislation-based variants of investment arbitration.

and most are still pending. This has generated a fourteen-fold spike in the rate of claims at the World Bank's Centre for Settlement of Investment Disputes (ICSID), for example.[11] Moreover, the subject-matter of claims under investment treaties has engaged a very diverse range of business and regulatory concerns. Under NAFTA, claims were brought against Canada, Mexico, or the US in disputes arising from a Canadian parliamentary ban on hazardous waste exports, a Mexican state governor's designation of an ecological park, and a Mississippi judge's conduct of a jury trial.[12] Under bilateral investment treaties, tribunals have been established to resolve disputes involving the issuance of radio broadcasting licences in the Ukraine, the annulment of permits for an industrial plant in Peru, and the denial of VAT refunds in the oil sector in Ecuador.[13]

The question at the heart of this book is what is the essential character and significance of this new system? In response, three claims are advanced. The first is that the advent of investment treaty arbitration is a revolutionary development in international adjudication. The second is that the system's crucial importance is that—unlike any other form of international arbitration—it is a method of public law adjudication, meaning that it is used to resolve *regulatory* disputes between individuals and the state as opposed to reciprocal disputes between private parties or between states. Third, and most troubling, is that the system's unique use of private arbitration in the regulatory sphere conflicts with cherished principles of judicial accountability and independence in democratic societies; in effect, it taints the integrity of the legal system by contracting out the judicial function in public law.

The more detailed argument in support of these claims may be summarized as follows. States, by concluding investment treaties that allow foreign investors (for the most part multinational firms[14]) to advance international claims against

[11] During the 10 years from 1996 to 2005, 166 claims by investors were registered at ICSID, compared to 35 in the previous 30 years. So recent is the explosion of claims under investment treaties that the UN Conference on Trade and Development could not long ago report: 'There is very little known on the use that countries and investors have made of [bilateral investment treaties]: they have been invoked in a few international arbitrations, and presumably in diplomatic correspondence and investor demands. Their most significant function appears to be that of providing signals of an attitude favouring FDI.' UNCTAD, *Trends in International Investment Agreements: An Overview* (UNCTAD Series on Issues in International Investment Agreements, 1999) 47.

[12] *SD Myers, Inc v Government of Canada* (Merits) (13 November 2000), 40 ILM 1408, 15(1) World Trade and Arb Mat 184; *Metalclad Corporation v United Mexican States* (Merits) (30 August 2000), 16 ICSID Rev 168, 40 ILM 36, 5 ICSID Rep 212, 13(1) World Trade and Arb Mat 45; *Loewen Group, Inc and Raymond L Loewen v United States of America* (Merits) (26 June 2003), 42 ILM 811, 7 ICSID Rep 442, 15(5) World Trade and Arb Mat 97.

[13] *Lemire (Joseph Charles) v Ukraine* (Settlement), ICSID Case No ARB(AF)/98/1, online: ITA; *Empresas Lucchetti, SA and Lucchetti Peru, SA v Republic of Peru* (Jurisdiction) (7 February 2005), 19 ICSID Rev 359, 17(3) World Trade and Arb Mat 161, para 18–21; *Occidental Exploration and Production Company v Republic of Ecuador* (Merits) (1 July 2004), 17(1) World Trade and Arb Mat 165, para 32.

[14] However extensive their actual business operations, foreign investors are typically complex legal entities organized as networks of companies (or other legal entities) which I shall refer to as multinational firms or multinational enterprises. As defined by the Organization for Economic Co-operation

states have given arbitrators the authority to resolve regulatory disputes between investors and the state. This authority is in certain respects more powerful than that of any court, domestic or international, because the system piggybacks on the rules and structure of international commercial arbitration instead of adopting a more conventional court-based model. First, as with the public law competence of the courts, arbitrators have comprehensive jurisdiction to review sovereign acts of the state by applying broadly worded standards of review that are open to a range of interpretations and, as such, they are empowered to resolve core matters of public law. Second, because investment treaties utilize the enforcement structure of the New York Convention and the ICSID Convention, the awards of arbitrators are more widely enforceable than any other adjudicative decision in public law. Third, the laws of the major enforcing countries in North America and Europe were revised in the 1980s and 1990s (for the distinct objective of promoting international commercial arbitration) to direct domestic courts to defer to foreign arbitration awards; as a result, arbitrators interpret and apply public law with limited court supervision. Finally, arbitrators are able to award damages as a public law remedy without having to apply the various limitations on state liability that evolved in domestic legal systems to balance the objectives of deterrence and compensation against the competing principles of democratic choice and governmental discretion.

In doing this, states have enabled privately contracted adjudicators to determine the legality of sovereign acts and to award public funds to businesses that sustain loss as a result of government regulation. This undermines basic hallmarks of judicial accountability, openness, and independence. Above all, the lack of security of tenure of arbitrators in a one-sided system of state liability, in which only investors bring the claims and only states pay damages for breach of the treaties, makes the adjudicator dependent on prospective claimants and thus biased, in an objective sense, against respondent governments. That is, because they receive appointments only if investors bring claims, arbitrators may reasonably be perceived as having a financial stake in interpreting investment treaties so as to

and Development (OECD) in its *Guidelines for Multinational Enterprises* (2000) 17–18, multinational enterprises: 'usually comprise companies or other entities established in more than one country and so linked that they may co-ordinate their operations in various ways. While one or more of these entities may be able to exercise a significant influence over the activities of others, their degree of autonomy within the enterprise may vary widely from one multinational enterprise to another. Ownership may be private, state or mixed.' An inherent aspect of multinational firms is their ability to make decisions about the allocation of capital and about production and distribution that transcend the boundaries of national regulation. The integral part played by such firms in organizing capital flows reflects their role as agents of globalization and makes them central actors in investment arbitration. S Timberg, 'International Combines and National Sovereigns' (1947) 95 U Penn L Rev 575, 577–8; AA Fatouros, 'On Domesticating Giants: Further Reflections on the Legal Approach to Transnational Enterprise' (1976) 15 U Western Ontario L Rev 151, 152–4; M Wilkins, 'Defining a Firm: History and Theory' in P Hertner and G Jones (eds) *Multinationals: Theory and History* (1986) 80–1; S Picciotto, 'Introduction: What Rules for the World Economy?' in S Picciotto and R Mayne (eds) *Regulating International Business* (1999) 6–7.

expand the system's compensatory promise for investors. And while the domestic courts of either the host or the home state may be seen to be biased in the resolution of an international investment dispute, it is a step backward to replace them with adjudicators who are perceptibly dependent on private interests in ways that tenured judges are not.

The scope and complexity of the system

Three additional points may be highlighted at this introductory stage. The first is that, while investment treaty arbitration is not a *global* regime in the absence of bilateral investment treaties (BITs) between major capital-exporting states or a multilateral investment code, it should none the less be understood as an international system that is elaborate and well entrenched, that has wide geographic scope, and that governs the bulk of the capital flows into developing and former communist countries. In particular, the system is constituted by the hundreds of bilateral and regional investment treaties currently in force (and mostly concluded in the 1990s[15]) that share three key characteristics. First, each treaty that is part of the system authorizes foreign investors to make and seek enforcement of claims for money damages against the state parties without the claims being vetted by the investor's home state or by an international organization. Second, sovereign acts of the states parties are subjected to broad standards of review that apply to a wide range of governmental activity, giving arbitrators a comprehensive jurisdiction to award compensation to international business in the regulatory sphere. Third, disputes are resolved using a private model of adjudication that originates in the rules and enforcement structure of international commercial arbitration, presenting major challenges to public law principles of judicial accountability, openness, and independence. By consenting to an array of treaties that share these characteristics, most states have by now plugged themselves into the system and, in so doing, they have integrated into their governing apparatus a uniquely international and privately modelled system of public law adjudication.

This leads to the second point that I wish to highlight at this stage. It is that the significance of the system in relation to public law must not be underestimated, although the sheer complexity of the system—incorporating, as it does, a multitude of investment treaties, several major conventions on international arbitration, various sets of arbitration rules, and the domestic arbitration laws of as many as 165 countries—may tend to mask its character in this respect. A review of a recent and quite infamous case may offer a glimpse of this complexity as well as the power that the system bestows on arbitrators. In March 2003 a tribunal

[15] UNCTAD, *Bilateral Investment Treaties—1959–1999* (New York: United Nations, 2000) 1 (the number of bilateral investment treaties rose from 385 in 1989 to 1,857 by 1999); UNCTAD, *World Investment Report 2004* (New York: United Nations, 2004) 221 (2,265 bilateral investment treaties were concluded by the end of 2003, involving 175 countries).

constituted in Sweden ordered the Czech Republic to pay (US)$353 million to an investor that owned a Czech TV broadcasting business.[16] The investor was a Dutch company, CME Czech Republic, that was in turn owned by the cosmetics billionaire Ralph Lauder, an American citizen.[17] The tribunal ordered the Czech Republic to pay damages to Mr Lauder's company after finding that the Czech government, by issuing regulatory advice that prompted CME to divest itself of a popular TV station, had violated the country's bilateral investment treaty with the Netherlands.[18] After failing to have the award set aside in the Swedish courts, the Czechs committed to pay it in full, lest they suffer yet more harm to their reputation in the capital markets.[19] Further, following the claim, other foreign firms brought or threatened claims against the Czech Republic in cases ranging from the collapse of a domestic bank, to an unsuccessful bid for a mobile telephone network, to the seizure of a jet by Czech customs authorities in lieu of back taxes owed by the foreign owner.[20]

For present purposes, the *CME* case is significant for two reasons. First, the case is revealing because the award of $353 million placed an enormous strain on the public finances of the Czech Republic. The amount was roughly equal to the country's entire health-care budget[21] and, adjusted for population size and gross national income, it was equivalent to an award of $19 billion against the United Kingdom, $26 billion against Germany, or $131 billion against the United States.[22] Second, just ten days before the award was issued, a parallel claim by

[16] *CME Czech Republic BV v Czech Republic* (Merits) (13 September 2001), 14(3) World Trade and Arb Mat 109 [cited as *CME* (Merits)].

[17] B Von Hase, 'Do the Right Thing' *The Times Magazine* [London] (13 September 2003) 50.

[18] Agreement on encouragement and reciprocal protection of investments between the Kingdom of the Netherlands and the Czech and Slovak Republic (the Netherlands–Czech Republic BIT) (22 October 1991; entered into force 19 December 1992). The treaty violation arose from the Czech government's regulatory treatment of a Czech TV network that was owned by CME. According to the tribunal, the government in effect destroyed the investment by issuing an interpretation of the law that forced CME to give up its ownership share.

[19] *CME Czech Republic BV v Czech Republic* (2003) 15(5) World Trade and Arb Mat 171 [cited as *CME* (Judgment)] (Swed Svea CA). The Czech Republic applied to set aside the award before the Swedish court of appeal, rather than the Czech courts, because Sweden had been chosen by the arbitration tribunal as the legal seat of the arbitration (the actual hearings were held in Düsseldorf, Germany). LE Peterson, 'Swedish court affirms award against Czech Republic; damages could be taxable' *Investment Law and Policy Weekly News Bulletin* (16 May 2003).

[20] *Saluka Investments BV v Czech Republic* (Merits) (17 March 2006), 18(3) World Trade and Arb Mat 166. S François-Poncet and C Mouawad, 'Final Arbitral Award Rendered in 2003 in SCC Case 49/2002' (2004) 2004:1 Stockholm Arbitration Report 141; LE Peterson, 'Investors emboldened by arbitral verdict against Czech Republic' *Investment Law and Policy Weekly News Bulletin* (11 April 2003); Z Kawaciukova, 'State ordered to pay 10 billion Kc' *The Prague Post* (19 March 2003); R Anderson, 'Tribunal to rule on Czech bank failure' *Financial Times* (8 April 2005) 27.

[21] T Kellner, 'The Informer: Call It the Ronald Lauder Tax', 171(9) *Forbes Magazine* (28 April 2003).

[22] *CME Czech Republic BV v Czech Republic* (Damages) (14 March 2003), 15(4) World Trade and Arb. Mat. 83 and 245, para 80 (separate opinion of I Brownlie). As an aside, in 2006 Ralph Lauder reportedly paid $135 million for Gustav Klimt's *Portrait of Adele Bloch-Bauer I*, the highest price ever paid for a painting: C Vogel, 'Lauder Pays $135 Million, a Record, for a Klimt Portrait' *The New York Times* (19 June 2006).

Mr Lauder himself based on the same case against the Czech Republic, but initiated six months earlier under a Czech-United States investment treaty, was *dismissed* by a separate tribunal.[23] In reviewing the conduct of the Czech broadcasting authorities—very soon after to be condemned by the *CME* tribunal as 'interference', 'coercion', and an 'intentional undermining' of Mr Lauder's investment[24]—this earlier tribunal concluded that it 'did not see any inconsistent conduct on the part of the Media Council which would amount to an unfair and inequitable treatment', that Mr Lauder's allegation was 'rather vague', and that Mr Lauder had acquiesced in his regulatory treatment by failing to 'commence any administrative or other proceedings before the appropriate courts of the Czech Republic in the course of which the issue of the overall attitude of the Media Council in this affair ... could be addressed and decided'.[25] Thus, two starkly conflicting decisions were issued in the same dispute under similarly worded investment treaties. Mr Lauder, the American investor, lost his personal claim on the basis that the Czech Republic's breach of the treaty was 'too remote to qualify as a relevant cause for the harm'.[26] But Mr Lauder, the Dutch investor, was able to collect damages through a holding company in the Netherlands.[27]

As such, the case demonstrated two peculiarities of the system as a public law phenomenon: its invitation to forum-shopping by investors and, by implication, its vulnerability to the troubling outcome of conflicting awards; as well as the potentially severe fiscal consequences of the power of arbitrators to decide that a state has broken the law and to punish it by ordering payment of compensation to a foreign investor.

The exceptionality of the system

The third point to stress at this stage is that the system is a highly exceptional development in the context of international law. Of course, it is not surprising that disputes may arise between foreign investors and states in a global economy. International investment disputes have existed for as long as people in one country acquired business interests in another, and much of the great social and economic change of the nineteenth and twentieth centuries—European industrialization, the growth of international business, socialist revolution and Third World decolonization, the establishment of new states, the rise and fall of the Soviet Union—expanded the conditions in which investment disputes could

[23] *Lauder (Ronald S) v Czech Republic* (Final Award) (3 September 2001), (2002) 4 World Trade and Arb Materials 35 [cited as *Lauder*].

[24] *CME* (Merits) (n 16 above) para 582, 593, and 611.

[25] *Lauder* (n 23 above) para 261, 273, 287, and 295.

[26] *Lauder* (n 23 above) para 235.

[27] The Czech Republic's application to set aside the award on this point was rejected by the Swedish court of appeal on the basis that Ralph Lauder and CME—the Dutch company controlled by Mr Lauder—were different parties and that their claims could therefore proceed concurrently, even though the substance of the claims was the same: *CME* (Merits) (n 16 above) para 426–33. The Swedish court of appeal was also influenced by the fact that the Czech Republic had refused, at an

arise.[28] To what minimum standard of treatment are foreign investors entitled under international law? To what degree can states support their own industries at the expense of outside competition? Under what conditions can a government expropriate, or regulate, the property of a multinational firm? These questions have driven and plagued debates about international law for well over a century.

On the other hand, it is most surprising that individual investors can now, rather suddenly in the historical context, trigger the compulsory arbitration of international investment disputes. For most of the twentieth century, international courts and tribunals rarely had jurisdiction over disputes concerning state regulation of foreign nationals. Students of international law will be well aware that such disputes were customarily resolved by dispute resolution between states.[29] This might result in a claim of diplomatic protection by the home state of a foreign national against the state whose conduct was in doubt, but such claims were typically settled by negotiation and, exceptionally, by adjudication between states. Moreover, once the states involved arrived at a resolution, individuals were left without further remedy under international law.[30] Thus, foreign investors like other foreign nationals relied on their home state to represent their interests in the international sphere and, faced with 'the arbitrary whim or caprice of state officials' or 'the most flagrant spoliations of private property', they sometimes suffered greatly for this dependence.[31]

These customary arrangements may appear unfair but it should be remembered that they follow from an elemental principle of international society; that is, that a state is the legal representative of the population of its territory.[32] As the legal framework of state-based representation is altered by states, and individuals are allowed to bring claims on their own behalf, some very important questions arise. One set of questions, not the primary focus of this book, springs from the selectivity of such a system. If foreign investors are permitted to claim compensation under international law, why not a migrant worker who is denied access to

early stage, the investor's offer to consolidate the two claims: *CME* (Judgment) (n 19 above) 210 and 242.

[28] AA Fatouros, 'International Law and the Third World' (1964) 50 Virg L Rev 783, 783–94; PT Muchlinski, *Multinational Enterprises and the Law* (Oxford: Blackwell, 1999) 10–11.

[29] JG Merrills, *International Dispute Settlement* (3rd edn, Cambridge: CUP, 1998) 114–15; J Collier and V Lowe, *The Settlement of Disputes in International Law* (Cambridge: CUP, 1999) 6–7.

[30] JL Brierly, *The Law of Nations* (6th edn, Oxford: Clarendon Press, 1963) 277 ('He has no remedy of his own, and the state to which he belongs may be unwilling to take up his case for reasons which have nothing to do with its merits; and even if it is willing to do so, there may be interminable delays before, if ever, the defendant state can be induced to let the matter go to arbitration . . . ').

[31] Quoting, respectively, MS McDougal, HD Lasswell, and L Chen, 'Nationality and Human Rights: The Protection of the Individual in External Arenas' (1973) 83 Yale LJ 900, 906; WL Penfield, 'Address: Is the Forcible Collection of Contract Debts in the Interest of International Justice and Peace?' (1907) 1 Am Soc'ty Int'l L Proc 129, 131.

[32] WW Willoughby, *The Fundamental Concepts of Public Law* (New York: Macmillan, 1924) 307; B Kingsbury, 'Sovereignty and Inequality' (1998) 9 EJIL 599, 601 (noting that state sovereignty is the 'means by which people can express, and be deemed to have expressed, consent to the application of international legal norms and to international institutional competences').

the rights and entitlements of domestic employees, or a refugee who is denied asylum and deported to torture, or an indigenous people whose land is polluted and livelihood destroyed by a multinational firm? None of these alternative scenarios is on the political agenda and, beyond the European Union, nearly all states have strongly resisted the idea of allowing non-investors any such legal status.[33] At present, therefore, the advent of investment treaty arbitration stands out, not as the vanguard of a broad movement to protect individuals in international law, but as an anomalous and exceptionally potent system that protects one class of individuals by constraining the governments that continue to represent everyone else. Designed in this way, the system disadvantages those individuals who stand to benefit from business regulation that is now foreclosed by investment treaties or from other public initiatives, the cost of which is made too high or uncertain by the threat of investor claims.

For these reasons, it is right to subject investment treaty arbitration to careful scrutiny in light of its character not simply as an international system but as a unique form of public law adjudication; that is, as a treaty-based regime that uses rules and structures of international law and private arbitration to make governmental choices regarding the regulatory relationship between individuals and the state. Towards this end, much of this book inquires into the system as it stands: after reviewing the system's historical background in Chapter 2, Chapters 3–5 deal with the fundamental distinction between investment treaty arbitration and commercial arbitration, with the wide-ranging governmental discretion that is wielded by arbitrators, and with the novelty of the system in international law. On the other hand, as is by now fairly clear, the book also incorporates an edge of criticism of the system; from this perspective, Chapter 6 evaluates, and for the most part rejects, the interpretive approaches adopted by arbitrators to date, and Chapter 7 presents the argument that the system fails to satisfy basic standards of judging in public law and elaborates a proposal for reform.

In this last regard, it should be emphasized that the target of criticism in this book is neither the global economy nor foreign investors nor the employment of international law and adjudication to strengthen the confidence of international business or resolve regulatory disputes involving the state. Rather, the target of criticism is the particular way in which states have used a private method of international adjudication to resolve claims that should be finally determined by

[33] Important reforms have taken place to elevate the international status of individuals, especially in human rights law, but they differ greatly in their scope and effectiveness from the right of investors to bring claims under investment treaties; moreover even in EU law, individuals must exhaust local remedies before bringing a claim against a state, whereas many investment treaties remove this duty. D Shelton, *Remedies in International Human Rights Law* (Oxford: OUP, 1999) 137–8; EB Weiss, 'Invoking State Responsibility in the Twenty-first Century' (2002) 96 AJIL 798, 809–11 and 815; J Thornton, 'Environmental Liability—A Shrinking Mirage or the Most Realistic Attempt So Far' (2003) J Planning & Enviro L 272. On the duty to exhaust local remedies, see J Paulsson, *Denial of Justice in International Law* (Cambridge: CUP, 2005) 8–9; as well as the discussion in Ch 5 below, p 110–13.

courts, whether domestic or international. Consensual arbitration is broadly suitable as a means to settle disputes between companies or between states, but it is fundamentally inadequate as a substitute for the public courts in the regulatory domain. As I shall argue, the courts *and only the courts* should have the final authority to interpret the law that binds sovereign power and to stipulate the appropriate remedies for sovereign wrongs that lead to business loss.